(for industrial companies).

2. Earnings stability: No deficit in the last five years covered in the *Stock Guide.*
3. Dividend record: Some current dividend.
4. Earnings growth: Last year's earnings more than those of 1966.
5. Price: Less than 120% net tangible assets.

The earnings figures in the *Guide* were generally for those ending September 30, 1970, and thus do not include what may be a bad quarter at the end of that year. But an intelligent investor can't ask for the moon—at least not to start with. Note also that we set no lower limit on the size of the enterprise. Small companies may afford enough safety if bought carefully and on a group basis.

When we have applied the five additional criteria our list of 20 candidates is reduced to only five. Let us continue our search until the first 450 issues in the *Guide* have yielded us a little "portfolio" of 15 stocks meeting our six requirements. (They are set forth in Table 15–1, together with some relevant data.) The group, of course, is presented for illustration only, and would not necessarily have been chosen by our inquiring investor.

The fact is that the user of our method would have had a much wider choice. If our winnowing approach had been applied to all 4,500 companies in the *Stock Guide*, and if the ratio for the first tenth had held good throughout, we would end up with about 150 companies meeting all six of our criteria of selection. The enterprising investor would then be able to follow his judgment—or his partialities and prejudices—in making a third selection of, say, one out of five in this ample list.

The *Stock Guide* material includes "Earnings and Dividend Rankings," which are based on stability and growth of these factors for the past eight years. (Thus *price* attractiveness does not enter here.) We include the S & P rankings in our Table 15-1. Ten of the 15 issues are ranked B+ (= average) and one (American Maize) is given the "high" rating of A. If our enterprising investor wanted to add a seventh mechanical criterion to his choice, by considering only issues ranked by Standard & Poor's as average or better in quality, he might still have about 100 such issues to choose from. One might say that a group of issues, of at least average quality, meeting criteria of financial condition as well, purchasable at a low